

REFINANCE

Max LTV	Max Loan Amount	Min FICO	Max Ratios	Mortgage/Rental History
Based on loan amount — no LTV restriction	Determined by county maximum limits and payoff amount	No minimum	N/A	0x30 last 12 months
Eligible borrowers may refinance without a new credit report, new appraisal, HUD Handbook minimum property determinations, property inspections, or qualifying ratios.				

USDA GUARANTEE FEE TABLE

Transaction	Guarantee Fee	Annual Fee
Refinance transactions	1.00%	0.35%
The guarantee fee is calculated on the loan amount and may be financed. When financing the fee, LTV/CLTV may not exceed 100% of the appraised value plus the financed guarantee fee.		

PROGRAM REQUIREMENTS

Program Eligibility	The borrower must: (1) meet current household income eligibility requirements; (2) reside in an eligible rural area or an area that was eligible at the time of the original closing; and (3) have made timely mortgage payments for the 12-month period prior to the refinance.
Existing Loan	Current loan may be a Section 502 Guaranteed or Direct loan.
New Interest Rate	Must be: (1) fixed; and (2) may not exceed the existing rate (as described in RD 440.1).
Net Tangible Benefit	A tangible benefit is a \$50 or greater reduction in the principal, interest, and annual fee monthly payment (PI+MI) compared to the existing principal, interest, and annual fee monthly payment.
Term	The new term must be 30 years only.
Adding/Removing Borrowers	Borrowers may be added, but not removed from the current loan (unless deceased).
Maximum Mortgage Amount	May include the principal balance plus a portion or the full amount of the applicable upfront guarantee fee, accrued interest, funds to establish tax and insurance escrow, and eligible loan closing costs (discount points not permitted — see below).
Discount Points	Eligible to be financed for a reduction in the interest rate; financed discount points cannot exceed 2% of the loan amount.
Late Fees	Late fees, unpaid fees, and past-due interest cannot be included in the loan amount.
Cash-Out	Not permitted — any overage MUST be applied to the principal balance.
Debt Ratio	DTI calculations are not required. Debt ratio and credit waiver requests are not necessary.
Closing Cost	Customary and reasonable closing costs and other fees may be collected from the borrower; charges may not exceed the cost paid by the lender or charged to the lender by the service provider.
Broker Compensation	USDA compensation requirements align with CFPB. Current general broker compensation rules apply.
Documentation Requirement	(1) Form 3555-21 Request for Single Family Housing Loan Guarantee; (2) full income and asset verifications/documentation for all adult household members; (3) URLA; (4) evidence of qualified alien status, if applicable; (5) FEMA Form 81-93 flood certificate (flood elevation certificate not needed); (6) evidence of previous 12-month mortgage payment history.
Flood Zone	Appropriate flood insurance must be obtained if the property is in a flood zone at the time of the new loan closing, even if the area was not in a flood zone at the original closing. A flood elevation survey is not required for this program.

COLLATERAL

Appraisal	No appraisal required. A new appraisal is only required for Direct loan borrowers who received a subsidy.
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COLLATERAL	
Eligible Collateral	All dwellings must be decent, safe, and sanitary at a modest cost. Owner occupied only. 1 unit, PUDs, condos, manufactured homes permanently affixed to the foundation, built on or after June 15, 1976, meeting all RD requirements, modular homes, and leaseholds.
Ineligible Collateral	Mobile homes; single-wide manufactured homes; co-ops; condo hotels; state-approved medical marijuana producing properties; income-producing farms; ranches; mixed use; commercial properties; sink holes; properties served by cisterns; hauled water; wastewater stabilization ponds/lagoons; individual water purification systems required for safe drinking water.
Recent MLS Activity / Listed for Sale	Property cannot be listed for sale at time of application. For streamline transactions without appraisals, the underwriter must validate current MLS activity through Redfin (alternative search such as Zillow acceptable if Redfin doesn't identify the property). If an appraisal is utilized, the appraiser will comment whether the property was listed within the past 6 months; if listed, the borrower provides an LOE and confirms intent to retain the property.

CREDIT	
Social Security Numbers	Required for all borrowers.
CAIVRS & Exclusionary List	CAIVRS clearance required for all borrowers. GSA/LDP/SAM clearance required for all parties within 30 days of USDA's Conditional Commitment date.
Bankruptcy	Chapter 7 and 13 must be discharged; the borrower(s) may not currently be in bankruptcy.
Judgments / Liens	All outstanding judgments and liens must be paid.
Foreclosure / Deed-in-Lieu	Subject property may not have an active foreclosure.
Credit Report	Not required.
Mortgage History	0x30 in the previous 12 months. Evidence of payment history over the previous 12 months required — no exceptions. A mortgage-only credit report or servicing verification (FiServ) is acceptable.
Community Property States	AZ, CA, ID, LA, NV, NM, TX, WA, WI.

INCOME / ASSETS	
Income Documentation	Income for all household members is required to determine whether household income is under the USDA moderate income area limit. Income documentation is not used to calculate qualifying ratios.
Annual Income Limits	Annual income is the basis for determining adjusted income and includes total gross income of the borrower, co-borrower, and any other adult (18+) household members; amounts anticipated from outside the family during the 12-month period; and all amounts derived from assets to which any family member has access. Include estimated cost-of-living allowances or income increases effective prior to the first payment due date. Count only the first \$480 of earned income from adult full-time students who are not the borrower, co-borrower, or spouse. Rental income is included regardless of duration — most recent IRS 1040 Schedule E for the previous 12 months, or cancelled checks, money order receipts, bank statements, or other documents supporting rents received.
Adjusted Income	Used to determine whether household income is within program limits, with deductions for household expenses (disability assistance, medical, childcare; medical not allowable for non-elderly households). All household members' income is considered; income of a non-applicant full-time student 18+ is excluded after \$480. Eligible deductions: each dependent — \$480; each disabled individual who is not the applicant or co-applicant — \$480; each adult full-time student — \$480; elderly (head of household or spouse 62+ and a borrower) — \$400 one-time; disability expenses (unreimbursed in excess of 3% of annual income); medical expenses exceeding 3% of gross annual (elderly households only); childcare for children 12 and under (actual documented cost); attendant care for disabled members. County income limits are published in the Exhibits of RD Instruction 3555-D and online.

INCOME / ASSETS	
Assets	Household assets: all must be disclosed and documented; assets in excess of \$5,000 are added to household income at the greater of 1% or actual income earned per tax returns. Common sources: 2-month average balance of depository accounts, current balance of securities, earnest money deposits, HUD-1 proceeds, equity in retained real property. Retirement accounts excluded. Funds to close: sufficient liquid assets required. Acceptable: checking, savings, gift funds, stocks/bonds, 401K/retirement, proceeds from sale of other real estate; funds borrowed against retirement accounts may be used. Unacceptable: cash on hand, unsecured borrowed funds, retirement accounts restricting withdrawal to retirement/employee separation.
Tax Transcripts	Each adult (18+) household member must complete and execute IRS Form 4506-C for the previous 2 years at application. Information gathered on non-loan household members validates income documentation and disclosures for program eligibility only. All 4506-Cs are processed by UFF prior to issuance of the Conditional Commitment.

GENERAL	
Underwriting	Underwritten by a UFF USDA certified underwriter. USDA Conditional Commitment is required.
Manual Underwrite	All loans must be manually underwritten. Streamlined Assist loans cannot be processed through GUS.
Borrower Eligibility	US citizens, qualified permanent resident aliens, and qualified non-permanent resident aliens are eligible with supporting documentation. Foreign nationals, borrowers with temporary residency status, and borrowers with diplomatic immunity are not eligible.
Eligible States	All states originated by UFF.
West Virginia	All Streamlined Assist transactions require credit qualifying.
Qualifying Fixed Products	Qualify at note rate.
Assumptions / Escrow Waivers / Prepay / Buydowns	Not permitted.
Hazard Insurance Deductible	Hazard insurance is required. Deductible(s) should not exceed 5% of the total coverage amount. When using a high deductible, UFF must be mindful of the applicant's repayment ability and ensure chosen deductibles are reasonable and will not cause undue hardship.